basis and may not resort to a classification that is palpably arbitrary." *Id.*, at 527.[21]

Finally, in *WHYY, Inc.* v. *Glassboro,* 393 U. S. 117 (1968), this Court struck down a New Jersey statute exempting nonprofit corporations incorporated in New Jersey from tax, but denying a similar exemption to nonprofit corporations incorporated in other States. Disregarding *Lincoln National,* the Court stated the applicable principle of law as follows:

> "This Court has consistently held that while a State may impose conditions on the entry of foreign corporations to do business in the State, once it has permitted them to enter, 'the adopted corporations are entitled to equal protection with the state's own corporate progeny, at least to the extent that their property is entitled to an equally favorable *ad valorem* tax basis.' *Wheeling Steel Corp.* v. *Glander,* 337 U. S. 562, 571–572. See *Reserve Life Ins. Co.* v. *Bowers,* 380 U. S. 258; *Hanover Fire Ins. Co.* v. *Harding,* 272 U. S. 494; *Southern R. Co.* v. *Greene,* 216 U. S. 400." 393 U. S., at 119–120.

In view of the decisions of this Court both before and after *Lincoln National,* it is difficult to view that decision as other than an anachronism. We consider it now established that, whatever the extent of a State's authority to exclude foreign corporations from doing business within its boundaries, that

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[21] Justice Harlan and I, concurring, went still further. Arguing that the Equal Protection Clause must be used as "an instrument of federalism," 358 U. S., at 532, we rejected the Court's analysis as insufficiently protective of out-of-state interests. We stated that the Equal Protection Clause denies a State "the power constitutionally to discriminate in favor of its own residents against the residents of other state members of our federation." *Id.*, at 533. Our position has not been adopted by the Court, which has subsequently required no more than a rational basis for discrimination by States against out-of-state interests in the context of equal protection litigation. *E. g., Baldwin* v. *Montana Fish and Game Comm'n,* 436 U. S. 371, 388–391 (1978); *Hughes* v. *Alexandria Scrap Corp.,* 426 U. S. 794, 810–814 (1976).